

Tesla Inc. - KYC and Income Tax Returns Compliance Report (FY 2025-2026)

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1. Corporate Identification and Compliance Overview

This document serves as the official Know Your Customer (KYC) and Income Tax Returns compliance report for Tesla Inc. (CIN: C0278187, PAN: TESLA1234G), incorporated in the State of Delaware, USA, in 2003. The company operates under the registered address: 1 Tesla Road, Austin, Texas, 78725, USA, and is engaged in the manufacturing of electric vehicles, energy storage systems, and renewable energy solutions.

Tesla Inc. confirms compliance with all applicable federal and state tax regulations, including the Internal Revenue Code (IRC) and relevant provisions of the Tax Cuts and Jobs Act (TCJA). This report aligns with previously submitted documents, including the Certificate of Incorporation, GST Returns, and three-year Income Tax Returns, ensuring consistency in corporate and financial disclosures.

Identifier	Value
Corporate Identification Number (CIN)	C0278187
Permanent Account Number (PAN)	TESLA1234G
Goods and Services Tax Identification Number (GSTIN)	N/A (Exempt under USA tax regulations)
Registered Address	1 Tesla Road, Austin, Texas, 78725, USA
Incorporation Year	2003
Fiscal Year Covered	2025-2026

2. Income Tax Returns Summary (FY 2025-2026)

For the fiscal year 2025-2026, Tesla Inc. reported a total revenue of \$96,774,000,000, with an EBITDA of \$15,000,000,000 and a net worth of \$60,000,000,000. The company's taxable income was computed after accounting for allowable deductions, depreciation, and tax credits under Sections 168(k) and 45X of the IRC for investments in renewable energy and advanced manufacturing.

The income tax return for FY 2025-2026 was filed electronically on April 15, 2026, with the Internal Revenue Service (IRS) and relevant state tax authorities. The return includes Form 1120 (U.S. Corporation Income Tax Return), Schedule M-3 (Net Income Reconciliation), and supporting schedules for credits, deductions, and international transactions.

Financial Metric	Amount (USD)
Total Revenue	96,774,000,000
EBITDA	15,000,000,000
Net Worth	60,000,000,000
Taxable Income	12,800,000,000
Income Tax Provision (Federal)	2,700,000,000
Income Tax Provision (State)	450,000,000
Net Income After Tax	9,650,000,000

3. Director Disclosures and Tax Compliance

In accordance with IRS regulations, Tesla Inc. has disclosed the following directors as part of its KYC and tax compliance process. All directors have affirmed their compliance with federal and state tax laws, including the Foreign Account Tax Compliance Act (FATCA) and reporting requirements under Section 6038A of the IRC.

The directors listed below hold significant ownership or executive positions and are required to disclose their tax identification numbers (TINs) and foreign financial assets, if applicable. No director has reported any foreign bank accounts or assets exceeding the reporting thresholds under FBAR (FinCEN Form 114).

Director Name	Position	Tax Identification Number (TIN) Status	Foreign Asset Disclosure
Elon R. Musk	Chief Executive Officer	Disclosed (USA TIN)	None
Robyn M. Denholm	Chair of the Board	Disclosed (USA TIN)	None
Ira Ehrenpreis	Director	Disclosed (USA TIN)	None
Kimbal Musk	Director	Disclosed (USA TIN)	None
James Murdoch	Director	Disclosed (USA TIN)	None

4. Reconciliation of Financial Statements and Tax Returns

Tesla Inc. has reconciled its audited financial statements with the income tax returns filed for FY 2025-2026. The reconciliation process ensures that book income aligns with taxable income after adjusting for permanent and temporary differences, as outlined in ASC 740 (Accounting for Income Taxes). Key reconciling items include:

- Depreciation and amortization differences under MACRS (Modified Accelerated Cost Recovery System) for manufacturing equipment and renewable energy assets.
- Research and development (R&D) credits claimed under Section 41 of the IRC for investments in battery technology and autonomous driving systems.
- Deferred tax assets and liabilities arising from timing differences in revenue recognition and expense deductions.

The reconciliation was reviewed and approved by Tesla's external auditors, PricewaterhouseCoopers LLP (PwC), and is consistent with the financial disclosures in the company's annual report (Form 10-K).

Reconciling Item	Book Amount (USD)	Tax Amount (USD)	Difference (USD)
Depreciation (MACRS vs. Straight-Line)	3,200,000,000	4,500,000,000	1,300,000,000
R&D Credits (Section 41)	0	(850,000,000)	(850,000,000)
Deferred Revenue (ASC 606)	1,200,000,000	0	(1,200,000,000)
Stock-Based Compensation	600,000,000	0	(600,000,000)
Net Reconciliation Adjustment	N/A	N/A	(350,000,000)

5. Related Party Transactions and Transfer Pricing

Tesla Inc. engages in related party transactions with its global subsidiaries, including Tesla Energy Operations, Inc. (USA), Tesla Manufacturing Shanghai (China), and Tesla Germany GmbH. All related party transactions are conducted at arm's length and comply with Section 482 of the IRC and OECD Transfer Pricing Guidelines.

For FY 2025-2026, the following key related party transactions were reported:

- Intercompany sales of battery packs and powertrain components between Tesla USA and Tesla Germany GmbH, priced at market rates with a 5% markup on cost.

- Licensing of autonomous driving software to Tesla China, with royalties set at 10% of gross revenue generated from software-enabled vehicles.
 - Shared services agreements for R&D, IT, and administrative functions, allocated based on usage metrics and headcount.
- Tesla Inc. maintains contemporaneous transfer pricing documentation, including a Master File, Local File, and Country-by-Country Report (CbCR), as required by IRS regulations.

Related Party	Nature of Transaction	Amount (USD)	Transfer Pricing Method
Tesla Germany GmbH	Battery Pack Sales	2,800,000,000	Cost Plus (5% Markup)
Tesla China	Software Licensing	1,200,000,000	Residual Profit Split
Tesla Energy Operations, Inc.	Shared Services (R&D)	950,000,000	Transactional Net Margin Method (TNMM)

6. Tax Credits and Incentives

- Tesla Inc. has claimed the following tax credits and incentives for FY 2025-2026, in accordance with federal and state tax laws:
- ****Section 45X Advanced Manufacturing Production Credit****: \$1,200,000,000 for the production of battery cells, solar components, and electric vehicle powertrains in the USA.
 - ****Section 30C Alternative Fuel Vehicle Refueling Property Credit****: \$150,000,000 for investments in Supercharger network expansion and hydrogen refueling infrastructure.
 - ****State-Specific Incentives****: \$300,000,000 in credits and grants from Texas, Nevada, and California for job creation, renewable energy investments, and manufacturing facility expansions.
- All credits were calculated based on qualifying expenditures and production volumes, with supporting documentation maintained for IRS review.

Tax Credit/Incentive	Section/Regulation	Amount (USD)	Qualifying Activity
Advanced Manufacturing Production Credit	IRC Section 45X	1,200,000,000	Battery and EV Powertrain Production
Alternative Fuel Vehicle Refueling Credit	IRC Section 30C	150,000,000	Supercharger Network Expansion
R&D Credit	IRC Section 41	850,000,000	Battery Technology and Autonomous Driving
State Incentives (Texas, Nevada, California)	State-Specific Programs	300,000,000	Job Creation and Facility Expansion

7. Compliance Certifications and Declarations

- Tesla Inc. certifies the following as part of its KYC and income tax compliance process:
- All income, deductions, and credits reported in the FY 2025-2026 tax return are accurate and complete to the best of the company's knowledge.
 - The company has maintained adequate books of accounts and records in accordance with Section 6001 of the IRC and applicable state laws.
 - No undisclosed foreign bank accounts, assets, or income sources exist beyond those reported in the tax return and supporting schedules.
 - All related party transactions have been conducted at arm's length and comply with transfer pricing regulations.
 - The company has complied with all FATCA and FBAR reporting requirements, where applicable.

This certification is signed by the Chief Financial Officer (CFO) and Chief Tax Officer (CTO) of Tesla Inc. and is subject to review by the IRS and external auditors.

Certification	Signatory	Date
Accuracy of Tax Return	Vaibhav Taneja (CFO)	2026-04-15
Arm's Length Compliance (Section 482)	Kurt Kelty (CTO)	2026-04-15
FATCA/FBAR Compliance	David Searle (VP, Tax)	2026-04-15
Record-Keeping Compliance (Section 6001)	Zachary Kirkhorn (Former CFO)	2026-04-15

8. Attachments and Supporting Documentation

The following documents are attached as supporting evidence for the KYC and income tax compliance report:

- **Form 1120 (U.S. Corporation Income Tax Return)**: Filed electronically with the IRS for FY 2025-2026.
- **Schedule M-3 (Net Income Reconciliation)**: Detailed reconciliation of book income to taxable income.
- **Form 8990 (Limitation on Business Interest)**: Calculation of interest expense limitation under Section 163(j).
- **Form 5471 (Information Return of U.S. Persons With Respect to Certain Foreign Corporations)**: Filed for Tesla's foreign subsidiaries.
- **Transfer Pricing Documentation**: Master File, Local File, and CbCR for related party transactions.
- **State Tax Returns**: Filed with Texas, Nevada, and California tax authorities.
- **Auditor's Tax Opinion**: Issued by PricewaterhouseCoopers LLP (PwC) confirming compliance with ASC 740 and IRS regulations.

Document	Description	Filing Date
Form 1120	U.S. Corporation Income Tax Return	2026-04-15
Schedule M-3	Net Income Reconciliation	2026-04-15
Form 8990	Business Interest Limitation	2026-04-15
Form 5471	Foreign Corporation Information Return	2026-04-15
Transfer Pricing Documentation	Master File, Local File, CbCR	2026-03-31
State Tax Returns (Texas, Nevada, California)	State-Specific Filings	2026-04-15
Auditor's Tax Opinion	PwC Compliance Certification	2026-05-10